④ Defines the parameters

⑤ Defines the resources

⑥ Defines the outputs

Let's take a closer look at parameters, resources, and outputs.

Format version and description

The only valid `AWSTemplateFormatVersion` value at the moment is 2010-09-09. Always specify the format version. If you don't, CloudFormation will use whatever version is the latest one. As mentioned earlier, this means if a new format version is introduced in the future, you'll end up using the wrong format and get into serious trouble.

`Description` isn't mandatory, but we encourage you to take some time to document what the template is about. A meaningful description will help you in the future to remember what the template is for. It will also help your coworkers.

Parameters

A parameter has at least a name and a type. We encourage you to add a description as well, as shown in the next listing.

Listing 4.11 CloudFormation parameter structure

```
Parameters:
  Demo:                                                    ①
    Type: Number                                           ②
    Description: 'This parameter is for demonstration'     ③
```

① You can choose the name of the parameter.

② This parameter represents a number.

③ Description of the parameter

Valid types are listed in table 4.1.